60pc of businesses don’t plan to raise prices

Inflation

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Most Australian businesses do not plan to increase their selling prices in 2020, which could lead to even softer inflation figures than the Reserve Bank of Australia is forecasting.

The RBA expects 1.9 per cent headline inflation and 1.6 per cent trimmed inflation when official December quarter figures are released today. Market economists expect both those figures to be lower, continuing to undershoot the central bank’s preferred 2 to 3 per cent range.

Yesterday, both the Australian Industry Group’s chief executive survey and the NAB Business survey pointed to continually soft prices in the year ahead.

About 60 per cent of businesses said they did not plan to increase their selling prices in 2020, despite expecting further input price increases, according to the latest AI chief executive survey.

“This speaks both to the competitive pricing pressures that many Australian businesses face locally and globally and to low incomes growth in the local economy,” Ai Group chief executive Innes Willox said.

Only 40 per cent of companies were expected to raise their selling prices. Seven per cent were expected to lower their prices and 53 per cent were expected to keep their prices steady.This is a lower result than last year and in 2018.

NAB’s latest business survey shows that final products’ price inflation eased from 0.5 per cent in November to 0.3 per cent in December. Retail price inflation was unchanged at 0.5 per cent in quarterly terms.

NAB group chief economist Alan Oster said: “Input costs continue to outpace end prices so overall, the survey suggests inflationary pressure remains weak.

“Wage growth is also not picking up, so consumers are only buying in sales and that means it’s harder to improve margins and it means retailers will continue to discount.

"This is going to be a huge problem for the RBA because they are going to have to keep cutting rates, especially in the absence of any fiscal stimulus."

The RBA has said it was reasonable to expect that "an extended period of low interest rates will be required in Australia to reach full employment and achieve the inflation target".

The key employment index from the NAB Business Survey, which the RBA monitors, was unchanged at four index points.

Based on historical relationships, the survey suggests employment will rise by about 18,000 per month over the next six months. The last official employment figures show an increase in jobs of 28,800 in December, which bettered economists' expectations of a gain of about 10,000.

Business conditions and confidence edged lower in December but they appear to have finally stabilised, the latest NAB Business Survey shows.

Lower profitability and poor trading results dragged overall business conditions down by one point in December and confidence weakened to its lowest reading since mid-2013, led by a fall in retail, construction and manufacturing.

There was a large increase in confidence in the mining sector as well as transport, utilities and finance, business and property services.

Mr Oster said the results showed business conditions had finally started to bottom out but he was still concerned with the gap between conditions and confidence.

"After showing initial signs over recent months, it now appears that business conditions have stabilised, following their sizeable decline since mid-2018," he said.

"Conditions appear to have bottomed, but our forward-looking indicators suggest they are likely to remain weak."